

9.2

Opening the negotiation

Worksheet

- A** The first time you meet someone for a negotiation you spend time 'relationship building'. How important is this in your negotiations? What does it consist of?
- B** After relationship building the two sides will discuss objectives and starting positions. Below are four separate dialogues about different issues. Fill in the gaps using phrases from the box.

Something nearer 5%. Isn't that a little low? That seems rather high.
I didn't expect it to be so long. Can you tell me about your terms of payment?
What do you mean? About six weeks. We'd prefer, say, 60 days credit.

Price

Customer: *What's the cost per item?*

Supplier: *The unit price is 600 dollars.*

Customer: (1) _____

Supplier: *What sort of price were you thinking of?*

Customer: *We were expecting something around 550 dollars.*

Supplier: *I think you'll find our prices are standard for this market.*

Quantity and discounts

Customer: *If we ordered, say, 1000 pieces, what sort of discount would you give?*

Supplier: *Our normal quantity discount is 3%.*

Customer: (2) _____

Supplier: *What kind of discount were you looking for?*

Customer: (3) _____

Supplier: *Well, we don't normally give such large discounts.*

Delivery time

Customer: *What's your usual delivery time?*

Supplier: (4) _____

Customer: (5) _____

Supplier: *What exactly did you have in mind?*

Customer: *We need delivery in 4 weeks. Can you do that?*

Supplier: *That's a little short for us. Our production schedule is very busy at the moment.*

Terms of payment

Customer: (6) _____

Supplier: *30 days after delivery.*

Customer: *Couldn't you be a little more flexible?*

Supplier: (7) _____

Customer: (8) _____

Supplier: *I'm sorry, but we only offer those conditions to regular customers.*

- C** Work with a partner. Decide who is the supplier and who is the customer. Choose a product (something in the classroom). Start with some relationship building, then move on to negotiate the purchase of a large quantity of this product. Invent all the details you need.